Since we are evaluating the equity side of a company, we need to analyze how the company uses the capital and if they are generating enough returns. And ROE is one of its indicators.

The benchmark ROE will be different for different industries. A 15% ROE might be good for some industries. While in others, an ROE of 20% might be expected. A company is only considered to be doing well when it generates a Return of Equity above Cost of Equity.

15% ROE → Good for some industries

20% ROE → Below par for some industries

ROE analysis is also known as Dupont analysis.

How it is calculated?

First, we need to calculate the margins, which can be calculated by:

PAT / Revenue

The next step is to calculate the asset turnover, which can be calculated by:

Revenue / Asset

And finally, we calculate financial leverage.

Asset / Equity

Once they are calculated separately, we simply multiply them to get the return on equity (ROE).